

AI ROI Measurement Framework

A one-page guide for engineering leaders

THE PROBLEM

42% of companies abandoned most AI projects in 2025 (S&P Global). Not because the AI failed — because they couldn't prove it worked.

01

BASELINE FIRST

Before deploying any AI tool, measure what you have:

- Task completion times
- Cycle time (commit to production)
- Error/rework rates
- Team capacity allocation

Without this, you cannot prove improvement.

02

PROCESS METRICS (NOT ADOPTION)

Stop measuring: seats, logins, AI interactions

Start measuring:

- Time saved per task (before vs. after)
- Deployment frequency (DORA)
- Change failure rate
- Rework ratio (bug fixes vs. features)

03

BUSINESS OUTCOMES

What your CFO actually wants:

- Cost avoided: FTEs not hired, hours reclaimed
- Revenue influenced: faster cycles, new capability
- Strategic capability: things you can do now

If you can't connect a metric to one of these three layers, stop tracking it.

Adoption metrics feel good and prove nothing.